Morgan Stanley | RESEARCH

UPDATE

October 29, 2026 12:14 PM GMT

Bank of Ningbo Co. Ltd | Asia Pacific

Continued solid revenue and profit growth in 3Q26

AlphaSignals Earnings Reaction

Unchanged	In-line	Largely unchanged
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- Double-digit revenue and profit growth continued in 3Q26, up 10.9% and 11.9% yoy, respectively.
- NII remained strong, up 13.6% yoy, supported by a ~6bp qoq rebound in quarterly NIM, to 1.73%.
- Net fee income declined 13.6% yoy, off a high base in 3Q25, mainly owing to a 106% yoy increase in fee expenses, despite 5% yoy growth in gross fee income.
- Loan growth remained solid, up 14.8% yoy, led by corporate loans. Despite a sequential decline, deposits grew 10.3% yoy.
- NPL ratio remained stable at 0.76% with modestly higher NPL coverage ratio to 374%; while special mention loans edged up 5bps qoq.

Solid NII growth supported by NIM recovery and robust loan expansion (14.8% yoy): Corporate loans rose 1.7% qoq and 21% yoy, indicating continued market share gains, underpinned by the bank's deep client knowledge and high-quality service capabilities.

Temporary pressure on fee income in 3Q26 – likely from somewhat weak capital markets and some deferred commissions following strong growth in financial product sales from an already high base in 3Q25. We remain positive on Bank of Ningbo's fee income growth over time.

Disciplined cost control and lower credit costs supported PPOP and PBT growth: Operating expenses increased only 0.7% yoy in 3Q26, driving faster PPOP growth of 15.8% yoy. Slightly lower credit costs yoy further supported 17.1% yoy PBT growth, although a higher effective tax rate moderated net profit growth to 11.9% yoy.

Maintain our positive view: We remain constructive on Ningbo's continued market share gains, resilient NII growth, and prudent risk management, although volatility in non-interest income warrants monitoring.

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Bank of Ningbo Co. Ltd (002142.SZ, 002142 CH)
Top Pick

China Financials | China

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	Rmb50.70
Up/downside to price target (%)	45
Shr price, close (Oct 29, 2026)	Rmb34.98
52-Week Range	Rmb36.49-27.45
Sh out, dil, curr (mn)	6,604
Mkt cap, curr (mn)	Rmb231,007.9
EV, curr (mn)	Rmb257,137.9
Avg daily trading value (mn)	Rmb909

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	4.29	4.87	5.58	6.50
EPS (Rmb)§	4.37	4.84	5.41	6.05
EBITDA (Rmb mn)	35,133	38,243	43,832	50,928
ModelWare net inc (Rmb mn)	28,311	32,067	36,841	42,937
P/E	6.6	7.2	6.3	5.4
P/BV	0.8	0.9	0.8	0.7
RNOA (%)	10.5	10.8	10.3	11.1
ROE (%)	13.6	14.4	14.6	15.4
EV/EBITDA	6.0	7.1	6.2	5.4
Div yld (%)	4.3	4.1	4.7	5.5
FCF yld ratio (%)**	-	-	-	-
Leverage (EOP) (%)	11.2	16.2	14.6	13.1

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
§ = Consensus data is provided by Refinitiv Estimates
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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Bank of Ningbo 3Q26 results

Exhibit 1: Bank of Ningbo 3Q26 results

QUARTERLY							
(Rmb mn)	3Q25	4Q25	1Q26	2Q26	3Q26	QoQ	YoY
P&L							
Net Interest Income	13,770	13,665	14,688	14,706	15,645	6.4%	13.6%
Interest Income	26,716	26,143	26,988	27,147	27,916	2.8%	4.5%
Interest Expense	(12,946)	(12,478)	(12,300)	(12,441)	(12,271)	-1.4%	-5.2%
Non-Interest Income	4,046	3,328	5,696	6,360	4,117	-35.3%	1.8%
Net Commission & Fees	2,043	1,237	2,575	1,742	1,766	1.4%	-13.6%
Others	2,003	2,091	3,121	4,618	2,351	-49.1%	17.4%
Operating Income	17,816	16,993	20,384	21,066	19,762	-6.2%	10.9%
Operating Expenses	(5,776)	(6,882)	(5,465)	(6,245)	(5,815)	-6.9%	0.7%
Pre-Provision Profit	12,040	10,111	14,919	14,821	13,947	-5.9%	15.8%
Provision	(3,442)	(2,485)	(6,006)	(5,571)	(3,894)	-30.1%	13.1%
Others	(64)	(51)	(14)	(26)	(59)	126.9%	-7.8%
PBT	8,534	7,575	8,899	9,224	9,994	8.3%	17.1%
Income Tax	(794)	(624)	(629)	(768)	(1,327)	72.8%	67.1%
Net Profits	7,740	6,951	8,270	8,456	8,667	2.5%	12.0%
Minority Interest	(67)	(63)	(89)	(75)	(80)	6.7%	19.4%
NPAT	7,673	6,888	8,181	8,381	8,587	2.5%	11.9%

B/S	3Q25	4Q25	1Q26	2Q26	3Q26	QoQ	YoY
Loans, gross	1,716,823	1,733,314	1,897,045	1,949,958	1,970,690	1.1%	14.8%
Deposits	2,081,237	2,058,755	2,276,163	2,322,705	2,296,217	-1.1%	10.3%
Assets	3,578,396	3,628,671	3,859,225	3,948,223	4,097,354	3.8%	14.5%
Interbank assets	115,592	116,232	92,066	117,418	175,606	49.6%	51.9%
Equity	217,879	222,499	232,493	242,768	245,136	1.0%	12.5%

Selected Ratios	3Q25	4Q25	1Q26	2Q26	3Q26	QoQ	YoY
NIM	1.76	1.66	1.73	1.67	1.73	6bps	-4bps
Net Fees % of Op Inc	11.47	7.28	12.63	8.27	8.94	0.8ppt	-2.5ppt
Cost-Income Ratio	32.42	40.50	26.81	29.64	29.43	-0.2ppt	-3.0ppt
Credit Cost (bps)	81.23	57.62	132.35	115.85	79.46	-36bps	-2bps
Loan/Deposit Ratio	82%	84%	83%	84%	86%	1.9ppt	3.3ppt
NPL Ratio	0.76	0.76	0.76	0.76	0.76	0bps	1bps
NPL coverage	376%	373%	369%	373%	374%	0.3ppt	-2.3ppt
Loan loss reserve ratio	2.85%	2.83%	2.80%	2.83%	2.85%	2bps	1bps
Core Tier 1 ratio	9.21%	9.34%	9.25%	9.53%	9.56%	3bps	35bps
CAR	14.62%	14.30%	14.02%	14.64%	14.51%	-14bps	-12bps
ROAA	0.86%	0.76%	0.85%	0.85%	0.84%	-1bps	-2bps
ROAE	14.09%	12.38%	14.08%	13.81%	14.01%	20bps	-7bps

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Bank of Ningbo Co. Ltd (002142.SZ)

We continue to use a three-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. The discount rate is 12% in the base case, and we assume 13.7% for second-stage and 13% for long-term ROE with a 38% dividend payout ratio in the long run

Risks to Upside

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Better-than-expected NIM and asset quality.
- Higher-than-expected non-interest income from stronger wealth management business revenue.

Risks to Downside

- Risks from potential change in leadership.
- Higher default risks from SME and retail business expansion.
- Pricing pressure from destructive competition in the market.

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(as of September 30, 2026)

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Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

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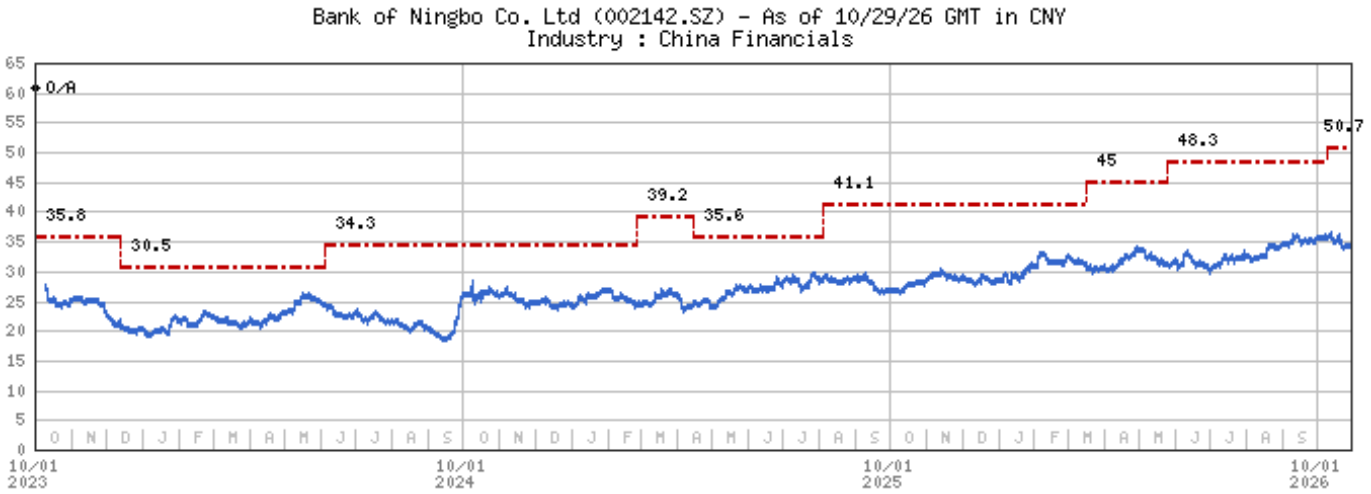
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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Stock Rating History: 10/1/21 : NA/A; 8/17/22 : O/A

Price Target History: 8/17/22 : 40; 9/19/22 : 40.2; 5/12/23 : 44.4; 9/28/23 : 35.8; 12/13/23 : 30.5; 6/5/24 : 34.3; 2/26/25 : 39.2; 4/16/25 : 35.6; 8/5/25 : 41.1; 3/18/26 : 45; 5/26/26 : 48.3; 10/9/26 : 50.7

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -·- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ▬
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INDUSTRY COVERAGE: China Financials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/29/2026)
Chiyao Huang		
China International Capital Corp. Ltd. (3908.HK)	O (02/28/2025)	HK$16.52
China Merchants Securities Co Ltd (600999.SS)	U (09/29/2022)	Rmb15.40
China Merchants Securities Co Ltd (6099.HK)	U (10/29/2024)	HK$11.94
CITIC Securities Co. (6030.HK)	O (07/10/2026)	HK$19.73
CITIC Securities Co. (600030.SS)	O (08/07/2025)	Rmb24.50
East Money Information Co Ltd (300059.SZ)	U (09/22/2026)	Rmb17.96
Futu Holdings Ltd (FUTU.O)	O (11/18/2024)	US$101.83
Galaxy Securities (6881.HK)	E (02/27/2020)	HK$6.61
Galaxy Securities (601881.SS)	U (09/29/2022)	Rmb11.25
GF Securities (000776.SZ)	O (09/22/2026)	Rmb17.80
GF Securities (1776.HK)	O (09/22/2026)	HK$15.29
HTSC (601688.SS)	E (09/23/2024)	Rmb17.09
HTSC (6886.HK)	E (09/23/2024)	HK$14.43
Richard Xu, CFA		
Agricultural Bank of China Limited (601288.SS)	E (05/07/2019)	Rmb7.56
Agricultural Bank of China Limited (1288.HK)	O (10/19/2020)	HK$6.85
Bank of Beijing Co Ltd (601169.SS)	E (08/17/2022)	Rmb5.61
Bank of Chengdu Co Ltd (601838.SS)	O (08/17/2022)	Rmb19.90
Bank of China Limited (601988.SS)	E (05/07/2019)	Rmb7.16
Bank of China Limited (3988.HK)	O (01/10/2020)	HK$6.14
Bank of Communications (3328.HK)	U (05/20/2022)	HK$8.49
Bank of Communications (601328.SS)	U (09/05/2014)	Rmb8.56
Bank of Hangzhou Co Ltd (600926.SS)	E (08/17/2022)	Rmb17.09
Bank of Ningbo Co. Ltd (002142.SZ)	O (08/17/2022)	Rmb34.98

China CITIC Bank Corporation Limited (601998.SS)	E (04/16/2025)	Rmb9.29
China CITIC Bank Corporation Limited (0998.HK)	O (04/16/2025)	HK$8.54
China Construction Bank Corp. (0939.HK)	O (10/11/2012)	HK$10.13
China Construction Bank Corp. (601939.SS)	E (05/07/2019)	Rmb12.04
China Everbright Bank Co Ltd (6818.HK)	U (05/12/2023)	HK$2.71
China Everbright Bank Co Ltd (601818.SS)	U (05/20/2022)	Rmb3.09
China Merchants Bank (600036.SS)	O (01/07/2019)	Rmb42.94
China Merchants Bank (3968.HK)	O (09/20/2018)	HK$52.75
China Minsheng Banking Corp. (600016.SS)	O (08/28/2025)	Rmb3.54
China Minsheng Banking Corp. (1988.HK)	O (05/12/2023)	HK$3.17
Chongqing Rural Commercial Bank (3618.HK)	U (05/12/2023)	HK$6.50
Hua Xia Bank (600015.SS)	U (06/30/2015)	Rmb6.34
Industrial and Commercial Bank of China (1398.HK)	O (10/09/2026)	HK$7.78
Industrial and Commercial Bank of China (601398.SS)	E (10/09/2026)	Rmb8.78
Industrial Bank Co. Ltd. (601166.SS)	O (02/25/2019)	Rmb19.40
Lufax (LU.N)		US$8.17
Ping An Bank (000001.SZ)	O (05/07/2019)	Rmb11.54
Postal Savings Bank of China Co Ltd (1658.HK)	O (11/01/2016)	HK$5.52
Qfin Holdings, Inc. (QFIN.O)	E (08/26/2026)	US$5.49
Shanghai Pudong Development Bank (600000.SS)	E (08/05/2025)	Rmb9.99

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